

MGT 428: MANAGERIAL JUDGMENT AND DECISION MAKING

SPRING 2026

Otterson 4E106

11am to 1:50pm on Th & Fr April 9&10, 16&17, 23&24, April 30&May 1, May 7&8

PROFESSOR: Yuval Rottenstreich, yuval@rady.ucsd.edu

OFFICE HOURS: Thursdays of class at 2pm in 4W115, or by appointment

TEACHING ASSISTANT: John-Henry Pezzuto // jpezzuto@ucsd.edu

OFFICE HOURS: TBA & <https://ucsd.zoom.us/j/6072808993>

DESCRIPTION

This course is composed of two parts. They are quite distinct yet critically connected: the first is about deriving better analyses and solutions, and the second is about implementing them.

In our initial sessions, we will examine how people make judgments and decisions, concentrating on how people perceive and react to uncertainty and variability. We will lay out key implications for business strategies. Consider a biotech start-up that is attempting to develop a new cancer drug. Suppose its managers must choose between divergent research tracks and market niches, each of which shows some promise but also carries some risks. How will they weigh the promise versus the risks, evaluate relevant information, and settle on a way to proceed? The hope is that a savvy understanding of the answers to such questions can inform your approach to many business settings.

Of course, it is not enough to be skillful at analysis. To succeed in business, you must also be adept at engaging others and getting their buy-in and follow through. For instance, the managers of the biotech start-up may wish to motivate employees and other stakeholders to devote their energies to a particular research approach. They may wish to rally investors around funding this approach. Accordingly, in our latter sessions, we study how to best build, protect, and exert influence to achieve your goals. A key idea is that developing multiple tools of influence is necessary because different circumstances call for different tools.

OBJECTIVES

At the close of this course, you should better understand

- How people think about uncertainty and variability
- How to design effective decision processes
- What influence tactics you tend to rely on
- How to construct a plan for expanding the set of influence tactics you use

MATERIALS

All materials are available on Canvas. In addition, this syllabus contains links to most materials.

SCHEDULE SUMMARY (deliverables in yellow)

	Topic	BEFORE Class	AFTER Class
PART 1 – HOW PEOPLE MAKE JUDGMENTS AND DECISIONS			
Class 1 Th Apr 9	Individual Decision Making	Prior-to-the-Course SURVEY due by 11:59pm Wed Apr 8	Delusions of Success / Don't Blink
Class 2 Fr Apr 10	Individual DM (cont.)		Before You Make that Big Decision / Judgment under Uncertainty
Class 3 Th Apr 16	Group Decision Making	Managing Group Decisions / Balance Out Biases / What Google Learned	
Class 4 Fr Apr 17	DM Via Models & Algorithms	Hiring is Hard Podcast / How Google Hires Podcast / Cowen Case / Cowen Survey due 9am Fr Apr 17 / New Boy Network	Noise HBR Article / Excerpt from Noise Book / Don't Trust Your Gut / BIN There
Class 5 Th Apr 23	Risk Taking		Choices, Values, & Frames / Reversals / Midterm posted after class Th Apr 23, due 11:59pm Tue Apr 28
PART 2 – INFLUENCE			
Class 6 Fr Apr 24	Intro to Influence / Coalitions	Introduction & Ch. 1 from Power / The Saudi Arabia of Sashimi	Leverage Inventory Survey : Personalized link emailed to you on Fri Apr 24; responses due by Mon May 4
Class 7 Th Apr 30	Networks	Peterson Case / Peterson Survey – due 9am Thur Apr 30	What Happens When / Social Capital / Six Degrees
Class 8 Fr May 1	Persuasion	de Mello Case: Excerpts from Chasing the Flame / de Mello Survey – due 9am Fri May 1 / Harnessing Science of Persuasion / Made to Stick / Persuasive Email Assignment - due 11:59pm Thur Apr 30	Nudge a Lot
Class 9 Th May 7	Your Influence Toolbox	Abe Lincoln & Influence / Boss of the Little Congress / Review Your Leverage Inventory Results / Influence Illustration Assignment - due 9am Thur May 7	
Class 10 Fr May 8	Influence and Change in Organizations	Google's Project Oxygen case / Google Came up with a Formula / Prasad Setty video (watch from 1:33 to 9:32)	Final Project: Make it Your Own , due 11:59pm Sun May 24

HOW THIS COURSE WORKS

During class, we will typically pair an exercise or case discussion with a lecture. Exercises and cases illustrate and explore key concepts; lectures further develop and summarize these concepts.

DELIVERABLES

There are four kinds of deliverables in this course: surveys, assignments, a midterm exam, and a final project. In the schedule summary on the previous page, individual deliverables are highlighted in yellow. For further information on each of them, follow the included link or see the session-by-session outline later in this syllabus.

GRADING

Your grade will be based on participation (25%), a midterm (35%) and a final project (40%).

PARTICIPATION (25%)

Classroom discussion is an integral part of this course. Much of your learning will come from the insights we are able to achieve by collectively mulling course concepts. Moreover, to fully engage with the course material you need to be actively involved in the discussion.

Because it is vital to your learning and the learning of your colleagues, your participation is assessed and factored into your grade. I make notes after each class regarding each student's role in the discussion. So does the teaching assistant. Near the end of the term, I will solicit your input about which students best-facilitated your learning.

We are all jointly responsible for the quality of the discussion. I would like for you to focus on being prepared, engaged and respectful of others. We want to cultivate a direct but friendly environment that encourages honesty and risk-taking. Mistakes are okay, especially as long as we are striving for insight. Irreverence is okay. Questions others know the answer to are okay. As long as you are prepared, engaged and respectful, almost anything goes.

Everyone should participate. This means some of you will have to fight your natural tendencies – those accustomed to speaking might need to back off, those accustomed to not speaking will need to step up. This gives everyone a chance to learn from others' experiences, as well as a chance to work on effective communication.

Finally, your on-time and proper completion of the surveys and other assignments for each class will facilitate our discussions and thus contribute substantially to what you and your colleagues learn. It thus also factors into your grade.

MIDTERM EXAM (35%)

We will have a take-home midterm after the first part of the course. It will be open-book, open-note, individual work. It will consist of a combination of multiple choice and short answer questions. Some of the material on the exam will appear both in class and in the readings, but some of the material will appear either only in class or only in the readings.

FINAL PROJECT – MAKE IT YOUR OWN (40%)

Your final project is to put together a personal distillation of concepts from the second part of our course. This can take any form – paper, powerpoint, website, video, art project, song, game, etc. Literally any form that works for you. You can think of it as one of those “cheat sheets” that some stats/econ pros allow for their exams. The idea is to boil down as much as possible of what you consider to be the most useful information from the course into a format you can carry forward. The goal is for you to use these ideas in the future. This is intended as a vehicle for that.

See under Class #10 for full details.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:
<http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>

AI

Principles

AI is a phenomenal tool that can make much of our work better.

No one should represent AI-generated work as their own. Proper attribution is simply good professional practice.

Use a tool if it increases your long-term retention of ideas from this class; do not use a tool if it reduces your long-term retention of ideas from class.

This course is about *practicing* influence. In order to get the most out of it you need to practice reading, writing, speaking, thinking, and living with integrity. These are hugely important areas of your life and this is the perfect place to hone them. But that means doing these things yourself.

Policies for each assignment type

Readings. **Do not use AI-summaries of class readings.** If you do you are wasting everybody's time – yours, mine and your classmates. There is not a lot else to the course beyond the readings, and I have reduced the required ones as far as possible, moving many to the optional category. On each survey about a reading I give you the option to indicate you did not do that reading, and give you grace to do that once a term without penalty. Do the reading. If you don't do the reading, have the integrity to acknowledge it.

Surveys and Applications. Surveys and applications should be 100% your own work. These are short and wordsmithing doesn't matter at all. **Submitting an AI-generated survey response is an honor code violation.** I have 10+ years of organic responses for most survey questions, and my TAs generate AI responses to survey prompts – they are not hard to spot.

Persuasive email. Use AI in whatever way you might use it to write an email in the real-world, including possibly not at all. I want you to practice with tools that are relevant to your life. What matters is that you write an effective email. No disclosure necessary.

“Make It Your Own” final project. You can use AI in whatever way you want except for generating text, but must disclose every way you use it. And what you use it for matters. What we care about is this project helping you retain and use course ideas in the future. That comes from two sources – 1) an effective tool/vehicle, and 2) investing yourself in creating that tool. AI can help (1) but hurts (2) if you simply use it as a substitute for effort. Using AI to do most of the work will hurt your grade because it reduces what you learn from the process. It also typically reduces originality, which reduces your impact.

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.

DETAILED SCHEDULE

PART I – HOW PEOPLE MAKE JUDGMENTS AND DECISIONS

CLASS #1 – INDIVIDUAL JUDGMENT & DECISION MAKING

Before Class Survey: Please complete [this survey](#) by 11:59pm on Wednesday, Apr 8.

After Class Readings:

[Delusions of Success, by Kahneman and Lovallo from HBR](#)

[Don't Blink! by Kahneman from New York Times](#)

CLASS #2 – INDIVIDUAL JUDGMENT & DECISION MAKING (CONT.)

After Class Readings:

[The Big Idea: Before You Make that Big Decision, by Kahneman, Lovallo, & Sibony from HBR](#)

This piece describes causes and consequences – as well as a few antidotes for – some prominent flaws in prediction and decision making.

[Judgment under Uncertainty - Heuristics & Biases, by Tversky & Kahneman from Science](#)

A classic piece by the originators of much of the research underlying our in-class discussion.

CLASS #3 – GROUP JUDGMENT AND DECISION MAKING

Before Class Readings:

[Managing Group Decisions, by Russo & Schoemaker, from Winning Decisions](#)

Please make sure to read the material from the beginning of the chapter through the bottom of page 174. The remaining material is optional.

[Balance Out Biases, by Randy Komisar in How We Do It: Three Executives Reflect on Strategic Decision Making, appearing in McKinsey Quarterly \(5 pages\)](#)

Please make sure to read the material by Kleiner Perkins' Randy Komisar. The remaining material is optional. Komisar discusses how he likes to structure group decision making.

[What Google Learned from its Quest to Build a Better Team](#)

CLASS #4 – DECISION MAKING VIA MODELS AND ALGORITHMS

Before Class Audio Podcasts:

- [1. Hiring is Hard Work, by Jack & Suzy Welch from *BusinessWeek's Welch Way* \(~8 minutes\)](#)
2. How Google Decides on Hires, Interview with Laszlo Bock, formerly Google's Head People Officer (~3 minutes; LINK IS IN THE CANVAS MODULE FOR THIS CLASS). Jack and Suzy Welch argue that hiring is difficult to do well. Laszlo Bock offers a more contemporary discussion that largely agrees; he begins with a focus on hiring and then turns to HR at large.

Before Class Case Reading:

SG Cowen, by DeLong and Vijayaraghavan from *HBS Publishing*

This case relates an episode of MBA recruitment at the boutique investment bank SG Cowen. As you read, evaluate the process used by SG Cowen. Also, decide which single candidate mentioned would be your 1st choice.

Before Class Survey: [SG Cowen Survey due by 9am on Friday, Apr 17](#)

Before Class Reading:

[The New Boy Network, by Gladwell](#)

This article illustrates the consistent research finding that performance in interviews is not very predictive of performance at one's job (no matter what the job).

After Class Readings

[Noise, by Kahneman, Rosenfield, Gandhi, and Blaser in *HBR*.](#)

[Excerpts from the book Noise by Kahneman, Sibony, and Sunstein](#)

These readings discuss why statistical models will almost always outperform experts, whether you are trying to predict on-the-job performance of job candidates, prices of goods to be bought by your firm's purchasing agents, political outcomes, whatever.

[Don't Trust Your Gut by Bock, Chapter 5 from *Work Rules*](#)

An overview of Google's accumulated insights about hiring.

[BIN There, Done That: How to Reduce the Sources of Forecasting Error by Mauboussin and Callahan for Morgan Stanley](#)

A summary of our first few classes from the perspective of investment professionals.

CLASS #5 – RISK TAKING

After Class Readings:

[Choices, Values, and Frames, by Kahneman & Tversky in *American Psychologist*](#)

[Reversals by Kahneman from *Thinking Fast and Slow*](#)

After Class Exam: The midterm will be posted after class. It is due by 11:59pm on Tuesday, Oct 14.

PART II – INFLUENCE

CLASS #6 – INTRODUCTION & COALITIONS

Before Class Readings:

[Introduction & Ch. 1 from *Power: Why Some People Have It & Other's Don't* by Pfeffer](#)

[The Saudi Arabia of Sashimi by Service from Slate.com](#)

Coalitions are a critical source of influence, providing *the* key resource for the otherwise weak and a critical threat to the otherwise strong. Our discussion will explore some nuances of coalitions.

After Class Survey: You will receive an email with a personalized link to the Leverage Inventory Survey that is a component of the second part of the course. This email should arrive in your inbox on Fr, April 24. Your survey responses are due Monday, May 4.

CLASS #7 – PETERSON / NETWORKS

Before Class Case Readings:

Erik Peterson at Biometra (A) and (B)

Before Class Survey: Peterson Survey due by 9am on Thursday, April 30

This survey will take you approximately 20 minutes. There are questions about the Peterson case as well as some additional questions that touch on issues we will raise after our in-class Peterson case discussion.

After Class Readings:

[What Happens When Baseball Stats Nerds Run a Pro Team? by Sam Miller in *NYTimes*](#)

[Social Capital of Entrepreneurial Managers, by Burt in *Financial Times*](#)

[Six Degrees of Lois Weisberg, by Gladwell](#)

CLASS #8 – DE MELLO / PERSUASION

Before Class Case Reading:

[*Sergio Vieira de Mello and the Fight to Save the World*, excerpts from *Chasing the Flame* by Samantha Power](#)

De Mello was a top UN diplomat. He was killed in Iraq in 2003. These excerpts from Power's book focus on his time as head of East Timor during the country's first two years of independence from Indonesia.

Before Class Survey: de Mello Survey due by 9am on Friday, May 1

Before Class Readings about Persuasion:

[*Harnessing the Science of Persuasion* by Cialdini in *HBR*](#)

[Introduction and Epilogue from *Made to Stick* by Chip Heath and Dan Heath](#)

These readings introduce two prominent frameworks for thinking about persuasion efforts. In class, we will consider these frameworks alongside classic models of persuasion.

Before Class Assignment due by 11:59pm on Thursday, April 30: Persuasion concepts aren't hard to understand, they're just hard to use effectively (and to remember to use). So, we want to see you use them. Your assignment is to write a persuasive email. Please review the three possibilities below and select one to write an email about. The idea is to draw on principles discussed in the readings regarding persuasion by Cialdini and Heath & Heath.

Please send your email to RadyMDM@gmail.com. We will use the submitted emails extensively in our class discussion.

1. *"Project Assignment"*

You have been with a company for five years and will be leaving in a year. Everyone knows this and the split is amicable. However, as part of the shuffle related to your departure, you will take on a new job for the next year. Your boss' boss, "Armed and Dangerous" (or "A&D") is the head of the organization and is trying to staff a project ("Downward Spiral") that she is responsible for. You have had some involvement with this project in the past and she would like for you to move onto it full-time for your remaining time. Downward Spiral (DS) is unrelated to what you will be doing when you leave the company, and has not been going well. You strongly believe in the project, but you also believe it has been mis-managed and that, no matter what you do, the year would be painful and ultimately a failure. You cannot be this blunt given A&D's investment in the project.

You prefer project "Noble Cause" (NC) or "Just Knocking Around" (JKA). A&D has complete discretion to do with you what she would like, though she obviously also needs you to do a good job. You have tried to resist her overtures but she has proven quite persistent. Now is the time to take a firm stand. Write an email persuading her to staff you on something other than DS. You sense that if you don't persuade her this time, your fate is sealed.

2. *"Cold Open"*

This was suggested by a student. His description provides the relevant context: Many of us are reaching out to startups we're interested in working for. The communication begins with us emailing people we've never interacted with before. Occasionally they're alums, but most of the time they're strangers [for this assignment assume non-alum stranger]. We send these emails hoping to persuade the recipients to schedule time to speak with us.

3. *"The Beach in Winter"*

You and some friends are planning to take some time off on a weekend in January. The only question is where to go. As messages are exchanged with ideas about where to go, you realize (for whatever reason) that you really want to go to a beach on the Central Coast (of California, where it will be cold and blustery). Write a message to your friends trying to convince them to go there in January. Note that this possibility may work better as a text than an email.

After Class Reading about Persuasion:

[Nudge ... a Lot by Bock, Chapter 12 from *Work Rules*](#)

CLASS #9 – YOUR INFLUENCE TOOLBOX

Before Class Readings:

[Abraham Lincoln and the Tools of Influence, by Cade Massey](#)

[The Boss of the Little Congress by Caro, Chapter 15 from *The Path to Power*](#)

Before Class Review:

Please make sure to review your personal leverage inventory results. Familiarize yourself with them so that you are prepared to discuss them in breakout sessions with other students. Also, please have them handy during class.

Before Class Assignment: Influence Illustration, due by 9am on Thursday, May 7

At this point, we've spent much time together discussing influence *tactics* – coalition-building, relationships and networks, persuasion, might, and others. Please find an example of someone using an influence tactic in some form of media – tv, movie, podcast, interview, article, etc. Your assignment is to excerpt the example and provide a brief commentary on it.

The example you select does not have to be a successful one! In fact, some of the best learning comes from failure. But do make sure the example touches on an aspect of influence that is useful or relevant to you.

Email your excerpt (in the form of a link to a particular scene, a clip from a podcast, the relevant portions of an interview transcript, etc.) and your commentary on it (1-2 PPT slides or less than half page Word doc) to RadyMDM@gmail.com. We will share a few of these.

CLASS #10 – INFLUENCE AND CHANGE IN ORGANIZATIONS

Before Class Case Reading:

Google's Project Oxygen: Do Managers Matter, by Garvin, Wagonfeld, & Kind, from *HBS*

Before Class Reading: [Google Came up with a Formula for Deciding Who Gets Promoted— Here's What Happened](#)

Before Class Video:

Prasad Setty, Google VP of People Analytics, discusses both the promotions experience and Project Oxygen (watch from 1:33 to 9:32)

After Class Assignment: Final Project – Make it Your Own, due 11:59pm Sunday, May 24

Your final project, to be turned in via RadyMDM@gmail.com, is to put together a personal distillation of concepts from the second part of our course. The distillation can take any form – paper, PowerPoint, website, video, art project, song, game, etc. Literally any form that works for you.

The idea is to boil down as much as possible of what you consider to be the most useful information from the second part of the course into a format you can carry forward. The goal of studying

influence is to change your future behavior. This project should be a device that increases the likelihood of that change by helping you remember, orient yourself towards, and use course concepts.

Think of this as somewhat akin to a “cheat sheet” like some profs allow for exams. Except that it is a highly personalized cheat sheet: a vehicle for taking forward into your life what it is that you want to take forward from the second part of the course.

You are the target audience and you know best what format works for you. The objective is to persuade your future self, so presumably you should draw on what you learned in the course about persuasion, e.g., what makes ideas sticky, etc.

I expect three things from you on this project. First, a reasonable investment of time and energy. Really the only way to be judged harshly is to simply “mail it in.” This is because what you get out of this project will be highly related to what you put into it. Second, thoughtful consideration of what the course concepts mean for your life. I do *not* want you to merely list all ideas that came up over the latter half of the course. Third, awareness of course concepts in how you represent the material. You are both influencee and influencer here – act accordingly.

As I view and eventually grade your project, I will evaluate it on these criteria:

- Is the **breadth and depth** of course material represented and summarized in an appropriate way?
- Are you delivering **insight about yourself**, your goals, and your use of influence tactics that is derived from applying course material to your situation?
- Do you provide **concrete, actionable prescriptions** that logically flow from your analysis?
- Is the material presented in a **compelling** way, drawing on course concepts where possible, thereby maximizing the impact on your future self?

The criteria are equally important. In grading, I will score your project on each of them using a five point scale: 5 – Far above expectations, 4 – Above expectation, 3 – At expectations, 2 – Below expectations, 1 – Far below expectations